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U.S. Customs and Border Protection

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PUBLIC VERSION

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Re: Enforce and Protect Act (“EAPA”) Consolidated Case Number 7887; *Certain Quartz Surface Products From the People’s Republic of China: Antidumping and Countervailing Duty Orders*, 84 Fed. Reg. 33,053 (Dep’t of Commerce July 11, 2019); Kingka Cabinet, Inc.; 19 U.S.C. § 1517

Dear Counsel:

This is in response to the request for *de novo* administrative review of a determination of evasion dated March 17, 2025, made by the Trade Remedy Law Enforcement Directorate (“TRLED”), Office of Trade (“OT”), U.S. Customs and Border Protection (“CBP”), pursuant to 19 U.S.C. § 1517(c), EAPA Consolidated Case Number 7887 (“March 17 Determination”).¹ The request for review, dated April 28, 2025, was submitted to CBP, OT, Regulations and Rulings (“RR”), by 6125 Trade LLC, on behalf of Kingka Cabinet, Inc. (“Kingka”), pursuant to 19 U.S.C.

¹ See EAPA Consol. Case 7887 – Notice of Determination as to Evasion (Mar. 17, 2025) (Public Version), *available at* <https://www.cbp.gov/document/publications/eapa-cons-case-7887-various-importers-notice-determination-evasion-march-17> (last accessed May 22, 2025).

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§ 1517(f) and 19 C.F.R. § 165.41(a).² Cambria Company LLC (“Cambria” or “Alleger”) did not file a response to the request for review.

I. Background

Based on our review of the administrative record, we agree with the recitation of facts as set forth in the March 17 Determination. As such, we will not repeat the entire factual history herein.

On December 16, 2023, Cambria, a domestic producer of quartz surface products (“QSP”), filed four separate EAPA allegations against Kingka, Broadcreek Marketing Associates, Inc. (“Broadcreek”), Dorado Surfaces LLC (“Dorado”), and Multistone Enterprises Inc. & Multistone Imports Inc. (“Multistone”) (collectively, “the Importers”).³ CBP acknowledged receipt of the allegations on February 21, 2024.⁴ On March 13, 2024, TRLED initiated formal investigations under Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act of 2015 (“TFTEA”), against the Importers in response to the allegations of evasion.⁵ On the same day, TRLED also consolidated all four investigations under EAPA Consolidated Case No. 7887.⁶

Cambria alleged that the Importers transshipped, through Thailand, Chinese-origin QSP that was imported into the United States without declaring it as QSP from the People’s Republic of China (“China”), which is subject to antidumping and countervailing duty orders (“AD/CVD Orders”) under Case Nos. A-570-084 and C-570-085.⁷ As a result, the Importers were alleged to have evaded the payment of antidumping and countervailing duties on these imports.⁸

² See Kingka’s Request for Administrative Review (Apr. 28, 2025) (Public Version). As detailed below, the March 17 Determination also pertained to three other importers: Broadcreek Marketing Associates, Inc. (“Broadcreek”); Dorado Surfaces LLC (“Dorado”); and Multistone Enterprises Inc. & Multistone Imports Inc. (“Multistone”) (collectively, “the other Importers”). See *generally* March 17 Determination (Public Version). With respect to the other Importers, TRLED determined that there was not substantial evidence of evasion. See *id.* at 8. Broadcreek, Dorado, and Multistone did not file requests for review. As such, this decision focuses on the TRLED determination with regard to Kingka.

³ See Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Broadcreek Marketing Associates, Inc. (Dec. 16, 2023) (Public Version) (“Cambria’s Broadcreek Allegation”); Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Dorado Surfaces LLC (Dec. 16, 2023) (Public Version) (“Cambria’s Dorado Allegation”); Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Multistone Enterprises, Inc. (Dec. 16, 2023) (Public Version) (“Cambria’s Multistone Allegation”); Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Kingka Cabinet, Inc. (Dec. 16, 2023) (Public Version) (“Cambria’s Kingka Allegation”).

⁴ See CBP’s Email, “EAPA 7887: Receipt of Allegations (Feb. 21, 2024) (Public Document).

⁵ See Notice of Initiation of Investigations and Interim Measures: EAPA Consolidated Case Number 7887 (June 18, 2024) (Public Version) (“Notice of Initiation”), *available at* <https://www.cbp.gov/document/publications/eapa-cons-case-7887-various-importers-notice-initiation-investigation-and> (last accessed May 22, 2025).

⁶ See Memorandum, Initiation of Investigations: EAPA Consolidated Case Number 7887 (Mar. 13, 2024) (Public Version), at 3–4.

⁷ See Cambria’s Kingka Allegation (Public Version), at 1–2; Cambria’s Broadcreek Allegation (Public Version), at 1–2; Cambria’s Dorado Allegation (Public Version), at 1–2; Cambria’s Multistone Allegation (Public Version), at 1–2.

⁸ See Cambria’s Kingka Allegation (Public Version), at 2; Cambria’s Broadcreek Allegation (Public Version), at 2; Cambria’s Dorado Allegation (Public Version), at 2; Cambria’s Multistone Allegation (Public Version), at 2; *see also Certain Quartz Surface Products From the People’s Republic of China: Antidumping and Countervailing Duty Orders*, 84 Fed. Reg. 33,053 (Dep’t of Commerce July 11, 2019) (“AD/CVD Orders”).

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The allegations of evasion pertained to the AD/CVD Orders issued by the U.S. Department of Commerce (“Commerce”) on imports of certain QSP from China. Commerce defined the scope of the AD/CVD Orders as follows:

The scope of the orders covers certain quartz surface products.¹⁵ Quartz surface products consist of slabs and other surfaces created from a mixture of materials that includes predominately silica (*e.g.*, quartz, quartz powder, cristobalite) as well as a resin binder (*e.g.*, an unsaturated polyester). The incorporation of other materials, including, but not limited to, pigments, cement, or other additives does not remove the merchandise from the scope of the orders. However, the scope of the orders only includes products where the silica content is greater than any other single material, by actual weight. Quartz surface products are typically sold as rectangular slabs with a total surface area of approximately 45 to 60 square feet and a nominal thickness of one, two, or three centimeters. However, the scope of the orders includes surface products of all other sizes, thicknesses, and shapes. In addition to slabs, the scope of the orders includes, but is not limited to, other surfaces such as countertops, backsplashes, vanity tops, bar tops, work tops, tabletops, flooring, wall facing, shower surrounds, fire place surrounds, mantels, and tiles. Certain quartz surface products are covered by the orders whether polished or unpolished, cut or uncut, fabricated or not fabricated, cured or uncured, edged or not edged, finished or unfinished, thermoformed or not thermoformed, packaged or unpackaged, and regardless of the type of surface finish.

In addition, quartz surface products are covered by the orders whether or not they are imported attached to, or in conjunction with, non-subject merchandise such as sinks, sink bowls, vanities, cabinets, and furniture. If quartz surface products are imported attached to, or in conjunction with, such non-subject merchandise, only the quartz surface product is covered by the scope.

Subject merchandise includes material matching the above description that has been finished, packaged, or otherwise fabricated in a third country, including by cutting, polishing, curing, edging, thermoforming, attaching to, or packaging with another product, or any other finishing, packaging, or fabrication that would not otherwise remove the merchandise from the scope of the orders if performed in the country of manufacture of the quartz surface products.

The scope of the orders does not cover quarried stone surface products, such as granite, marble, soapstone, or quartzite. Specifically excluded from the scope of the orders are crushed glass surface products. Crushed glass surface products must meet each of the following criteria to qualify for this exclusion: (1) The crushed glass content is greater than any other single material, by actual weight; (2) there are pieces of crushed glass visible across the surface of the product; (3) at least some of the individual pieces of crushed glass that are visible across the surface are larger than one centimeter wide as measured at

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their widest cross-section (glass pieces); and (4) the distance between any single glass piece and the closest separate glass piece does not exceed three inches.

The products subject to the scope are currently classified in the Harmonized Tariff Schedule of the United States (HTSUS) under the following subheading: 6810.99.0010. Subject merchandise may also enter under subheadings 6810.11.0010, 6810.11.0070, 6810.19.1200, 6810.19.1400, 6810.19.5000, 6810.91.0000, 6810.99.0080, 6815.99.4070, 2506.10.0010, 2506.10.0050, 2506.20.0010, 2506.20.0080, and 7016.90.10. The HTSUS subheadings set forth above are provided for convenience and U.S. Customs purposes only. The written description of the scope of the orders is dispositive.

FN 15: Quartz surface products may also generally be referred to as engineered stone or quartz, artificial stone or quartz, agglomerated stone or quartz, synthetic stone or quartz, processed stone or quartz, manufactured stone or quartz, and Bretonstone®.⁹

In response to the allegations, on March 20, 2024, TRLED issued CBP Form 28 (“CF-28”) requests for information to the Importers.¹⁰ On April 15, 2024, Kingka provided a timely but incomplete response to the CF-28 related to entry no. ending in -6657.¹¹ On June 11, 2024, TRLED contacted Kingka to request proper bracketed business confidential and public versions of the CF-28 response.¹² Kingka did not respond.¹³ On June 13, 2024, TRLED sent a second request to Kingka to provide the bracketed versions of its CF-28 response by June 14, 2024.¹⁴ Kingka failed to respond by the June 14, 2024 deadline, and did not submit this information to TRLED until July 12, 2024.¹⁵

On June 18, 2024, in accordance with 19 C.F.R. § 165.24, CBP issued a Notice of Initiation to all parties to the investigation, stating that the investigation had begun on March 13, 2024, and notifying the parties of CBP’s decision to take interim measures based upon reasonable suspicion that the Importers had entered covered merchandise into the customs territory of the United States through evasion.¹⁶ The entries subject to the investigation are all unliquidated entries of covered merchandise entered from February 21, 2023, through the pendency of the investigation.¹⁷

On June 26, 2024, CBP issued request for information (“RFI”) questionnaires to the foreign manufacturers named in the allegations: Alilia Home (Thailand) Co., Ltd. (“Alila”), Just Stone Industry Thailand Co. (“Just Stone”), Taimei Stone Co., Ltd. (“Taimei”), and Thai Summit Stone

⁹ 84 Fed. Reg. at 33,055–56.

¹⁰ See Notice of Initiation (Public Version), at 5.

¹¹ See *id.* at 8. See also Kingka’s CF-28 Response (Public Version) (Apr. 15, 2024).

¹² See Memorandum, “EAPA 7887: Bracketing Comments on CF28 Responses” (June 18, 2024) (Public Document), at Attach. I, at 5–6.

¹³ See *id.* at 1.

¹⁴ See *id.* at Attach. II, at 3.

¹⁵ See *id.* at 1; March 17 Determination (Public Version), at 3.

¹⁶ See Notice of Initiation (Public Version), at 2.

¹⁷ See *id.*; see also 19 C.F.R. § 165.2 (“In addition, at its discretion, CBP may investigate other entries of such covered merchandise.”).

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Co., Ltd. (“TSS”).¹⁸ The foreign manufacturers all responded timely to those requests.¹⁹ CBP then issued supplemental RFI questionnaires to the foreign manufacturers and again they provided timely responses.²⁰

On June 28, 2024, CBP sent an RFI questionnaire to Kingka with a response due date of July 11, 2024.²¹ Kingka did not respond or request an extension of the submission deadline.²²

On July 12, 2024, TRLED provided Kingka a second opportunity to comply with the RFI.²³ Kingka again failed to respond to the RFI; however, on July 12, 2024, Kingka sent to TRLED, via email, bracketing comments regarding its April 15 CF-28 response.²⁴

On July 16, 2024, Kingka sent to TRLED, via email, additional documents consisting of bank statements and sales quantity information, but did not include a narrative to explain the deficiencies in the CF-28 response.²⁵ TRLED did not place these documents on the administrative record because they were provided far past the submission deadline and were not submitted properly via CBP’s case management system.²⁶

On July 26, 2024, TRLED provided Kingka with a third and final opportunity to respond to the RFI.²⁷ Kingka again failed to respond to the RFI.²⁸

Between November 5 and November 21, 2024, CBP conducted on-site verifications in Thailand to verify Alilia’s, Just Stone’s, Taimei’s, and TSS’s submissions.²⁹

On March 17, 2025, TRLED, through the application of adverse inferences to Kingka for failing to respond to the RFI, found that there was substantial evidence that Kingka had imported Chinese-origin QSP into the United States through evasion by misrepresenting the country of origin of the QSP as Thailand.³⁰

On April 28, 2025, Kingka filed a timely Request for Administrative Review. On April 29, 2025, RR sent an email to all parties to the investigation in EAPA Consolidated Case Number 7887, notifying them of the commencement of the administrative review process for Kingka, and assigning RR case number H347471 to the *de novo* administrative review. Cambria did not submit a written response to Kingka’s request for administrative review.

¹⁸ See March 17 Determination (Public Version), at 4.

¹⁹ See *id.*

²⁰ See *id.*

²¹ See *id.* at 3.

²² See *id.*

²³ See *id.*

²⁴ See *id.*

²⁵ See *id.*

²⁶ See *id.* at 4.

²⁷ See *id.*

²⁸ See *id.*

²⁹ See *id.*

³⁰ See *id.* at 7.

II. Law & Analysis

Section 517 of the Tariff Act of 1930, as amended (19 U.S.C. § 1517), provides, “with respect to covered merchandise, the Commissioner shall make a determination, based on substantial evidence, with respect to whether such covered merchandise was entered into the customs territory of the United States through evasion.”³¹ The term evasion is defined as:

Except as provided in subparagraph (B), the term “evasion” refers to entering covered merchandise into the customs territory of the United States by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise.³²

Examples of evasion include, but are not limited to, misrepresentation of the merchandise’s true country of origin (*e.g.*, through false country of origin markings on the product itself or false sales), false or incorrect shipping and entry documentation, or misreporting of the merchandise’s physical characteristics.³³

Additionally, covered merchandise is defined as “merchandise that is subject to a CVD order issued under section 706, Tariff Act of 1930, as amended (19 U.S.C. § 1671e), and/or an AD order issued under section 736, Tariff Act of 1930, as amended (19 U.S.C. § 1673e).”³⁴ While “substantial evidence” is not defined by statute, the “substantial evidence” standard has been reviewed by the courts in relation to determinations by other agencies. “Substantial evidence requires more than a mere scintilla but is satisfied by something less than the weight of the evidence.”³⁵

Therefore, CBP must determine whether a party has entered merchandise that is subject to an AD or CVD order into the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act, that is material and false, or any omission that is material, that resulted in the reduction or avoidance of applicable cash deposits or antidumping or countervailing duties being collected on such merchandise. In doing so, CBP may apply adverse inferences where they are warranted.³⁶ RR’s determination as to evasion must be supported by substantial evidence.

A. Kingka’s Arguments

Kingka requests that we reverse the March 17 Determination, asserting that the record evidence does not support a finding of evasion by Kingka and that the determination improperly applied adverse inferences against Kingka.

³¹ 19 U.S.C. § 1517(c)(1)(A).

³² 19 U.S.C. § 1517(a)(5); *see also* 19 C.F.R. § 165.1.

³³ *See Investigation of Claims of Evasion of Antidumping and Countervailing Duties*, 89 Fed. Reg. 19,239 (CBP March 18, 2024) (effective date, April 17, 2024).

³⁴ 19 C.F.R. § 165.1.

³⁵ *See Altex, Inc. v. United States*, 370 F.3d 1108, 1116 (Fed. Cir. 2004) (internal citations and quotation marks omitted).

³⁶ *See* 19 C.F.R. § 165.6.

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Kingka argues that the March 17 Determination of evasion by Kingka rests solely upon the use of adverse inferences and that there is no evidence to support such a finding because the administrative record does not demonstrate that the three elements required pursuant to 19 U.S.C. § 1517 are present in this case.³⁷ Specifically, Kingka argues that the QSP imported by Kingka was manufactured in Thailand at TSS, a manufacturer that TRLED visited to perform an on-site verification as part of the EAPA investigation.³⁸ Kingka notes that the Verification Report confirmed that TSS was capable of producing QSP.³⁹ Moreover, Kingka claims that TRLED “had the opportunity to perform a ‘production trace’ for the merchandise purchased from TSS by Kingka” as it did with the three other importers involved in the investigation.⁴⁰ Kingka asserts that because TSS was capable of producing the merchandise purchased by Kingka, the subject entries did not contain merchandise covered by the AD/CVD Orders on QSP from China.⁴¹ Therefore, no material false statement or omission was made by Kingka in entering the QSP as Thai-origin and antidumping or countervailing duties did not apply to these imports.⁴²

Furthermore, Kingka maintains that adverse inferences were improperly applied against Kingka because Kingka was not represented by counsel during the investigation and English was a second language for Kingka’s “principal.”⁴³ Therefore, Kingka did not possess the “working knowledge of the nuances of defending an EAPA investigation or submitting documents in CBP’s case management system.”⁴⁴ Kingka maintains that it did attempt to send RFI responses via email to TRLED and, thus, Kingka did cooperate to the best of its ability during the investigation in responding to the RFI.⁴⁵

Finally, Kingka argues that the March 17 Determination of evasion violates its constitutional right to due process as the finding is based upon “mere unsupported allegations and adverse inferences drawn against Kingka” rather than competent evidence.⁴⁶

For these reasons, Kingka requests that the March 17 Determination be reversed.⁴⁷

B. Cambria’s Arguments

Cambria did not submit a response to Kingka’s request for administrative review.

III. Administrative Review Analysis

Pursuant to 19 U.S.C. § 1517(f)(1) and 19 C.F.R. § 165.45, upon request for administrative review, RR will apply a *de novo* standard of review under the law, based solely upon the facts and circumstances on the administrative record in the proceeding. In making our determination, we

³⁷ See Kingka’s Request for Administrative Review (Public Version) at 9. The citations herein follow the page numbering as provided by Kingka in the Table of Contents.

³⁸ See *id.* at 10–11.

³⁹ See *id.*

⁴⁰ See *id.* at 12.

⁴¹ See *id.* at 10–12.

⁴² See *id.* at 12–13.

⁴³ See *id.* at 8–9.

⁴⁴ See *id.*

⁴⁵ See *id.*

⁴⁶ See *id.* at 13–14.

⁴⁷ *Id.* at 14.

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reviewed the following materials: (1) the administrative record upon which the March 17 Determination was made, as provided to RR by TRLED; and (2) the timely and properly filed request for review.

A review of the administrative record demonstrates that there is substantial record evidence that Kingka purchased QSP from TSS, one of the foreign manufacturers named in the allegation. Such evidence appears in several places in the record, specifically, in Kingka's CF-28 response, which contains a commercial invoice and a packing list from TSS to Kingka;⁴⁸ TSS's RFI Response, which includes []⁴⁹ and a []⁴⁹ document description []⁵⁰ and the Allegation, where Cambria alleged that Kingka purchased QSP from TSS.⁵¹

Furthermore, there is substantial record evidence that TSS produces QSP in Thailand. As part of the EAPA investigation, TRLED conducted an on-site verification of TSS on November 5 to 8, 2024.⁵² The Verification Report described TSS's manufacturing facility as comprised of: a materials warehouse containing raw materials used to produce QSP; two QSP production lines housed in separate warehouses; a sample room where research and design occurs; and finished inventory throughout the facility grounds.⁵³ A TSS employee performed a sample production demonstration for CBP as part of the verification.⁵⁴ Additionally, during the verification, TSS's Assistant General Manager informed CBP that the two production lines could "produce [no.] slabs a day per line" and that TSS operated the lines six days a week.⁵⁵ Moreover, the Verification Report cited no concerns about TSS's ability to produce QSP in the quantities ordered by all of its customers, which included Kingka and the other Importers that were parties to this EAPA investigation.⁵⁶ The March 17 Determination found no evasion by the other Importers involved in this EAPA investigation; furthermore, it specifically found there was no evidence of anyone engaging in the transshipment of Chinese-origin QSP through TSS.⁵⁷ Moreover, the Verification Report did not identify the presence of any Chinese-origin QSP at TSS's facility, and no such discussion appears in the remainder of the administrative record.

Based on the evidence discussed above, the administrative record demonstrates that Kingka purchased QSP from TSS, that TSS had the capability and capacity to produce QSP in Thailand, and that TSS did produce QSP in Thailand. Additionally, there is nothing on the record to indicate that TSS transshipped any Chinese-origin QSP through Thailand. Thus, all of the record evidence

⁴⁸ See Kingka's CF-28 Response (Public Version), at 2–5.

⁴⁹ See EAPA Case Number 7887: Response to the Request for Information for Thai Summit Stone Co., Ltd. (Business Confidential Version) (July 29, 2024) ("TSS's RFI Response"), at Attachs. III-13-A & III-13-B.

⁵⁰ See *id.* at Attach. V-3-A.

⁵¹ See Cambria's Kingka Allegation (Public Version), at 1–2. See also *id.* at Ex. 3.

⁵² See Onsite Verification Report, Enforce and Protect Act Consolidated Case Number: 7887 (Jan. 21, 2025) (Public Version) ("Verification Report"), at 1.

⁵³ See Verification Report (Business Confidential Version), at 14–17. The Verification Report noted that TSS had [] activity description and date [] this EAPA investigation. See *id.* at 12.

⁵⁴ See *id.* at 16.

⁵⁵ See *id.* at 11.

⁵⁶ See March 17 Determination (Public Version), 7. See also Verification Report (Business Confidential Version), at 13 (showing that the other Importers purchased QSP manufactured by TSS).

⁵⁷ See Verification Report (Business Confidential Version), at 7.

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gathered during the investigation contradicts the allegation. Therefore, there is no actual evidence of evasion by Kingka within the administrative record.

In finding evasion by Kingka, TRLED relied on the initial allegation, and stated:

the only information available on the record with respect to the country of origin of Kingka's entries is found in the Kingka Allegation submitted by Cambria. In selecting from among the facts otherwise available to make the determination as to evasion, we note that the Kingka Allegation contains information indicating Chinese-origin QSP have been transshipped by Thai exporters.⁵⁸

This conclusion is unsupported by the record for two reasons. First, contrary to TRLED's finding, the record contains evidence outside of the allegation regarding Kingka's entries of QSP. Second, as mentioned previously, the allegation itself includes evidence that Kingka purchased QSP "exclusively from TSS."⁵⁹ The record thus supports a conclusion that TSS produces QSP in Thailand, thereby contradicting the initial claim that Kingka transshipped Chinese-origin QSP through Thailand into the United States.

Notwithstanding the above evidence and our ultimate finding of no evasion by Kingka, we conclude that the application of an inference adverse to the interests of Kingka was warranted because Kingka failed to cooperate and comply to the best of its ability with CBP's requests for information. As discussed below, the administrative record demonstrates that Kingka's participation in the EAPA investigation was less than satisfactory.

CBP has statutory authority "to collect and verify additional information" to make its evasion determinations.⁶⁰ CBP can gather information in various ways, including, but not limited to, "issuing a questionnaire with respect to such covered merchandise" to importers, foreign producers or exporters, and foreign governments, among others.⁶¹ Here, CBP sought to collect and verify information from Kingka, as an importer and party to the investigation, to analyze whether evasion had occurred. Specifically, TRLED issued a CF-28 request for information to Kingka, as well as an RFI questionnaire to obtain additional information about the company and its importing practices.⁶² Kingka timely responded to the CF-28, albeit incompletely, and not in the correct form, and which deficiencies Kingka only partially corrected and in an untimely fashion. Furthermore, TRLED provided multiple extensions to Kingka to respond to the RFI.⁶³ Despite these attempts by TRLED, Kingka failed to respond to the RFI.⁶⁴

Pursuant to 19 C.F.R. § 165.6(a):

{i}f the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by

⁵⁸ *Id.* at 6 (internal citations omitted).

⁵⁹ Cambria's Kingka Allegation (Public Version), at 5 (citing import data provided at Exhibit 3).

⁶⁰ 19 U.S.C. § 1517(c)(2).

⁶¹ *Id.* at § 1517(c)(2)(A).

⁶² See March 17 Determination (Public Version), at 6.

⁶³ See *id.* at 3–4.

⁶⁴ See *id.* Kingka's responses to TRLED's communications regarding the RFI related to Kingka's incomplete CF-28 responses. See *supra* at 5.

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CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion pursuant to § 165.27 and subpart D of this part.⁶⁵

The nature of Kingka's participation in the EAPA investigation amounts to a failure to cooperate to the best of the company's ability, despite the fact that Kingka did provide some information in response to the CF-28. Pursuant to CBP's authority under EAPA, such failure may result in the application of adverse inferences. Thus, for example, to deter parties from submitting untimely information, it was appropriate for TRLED to reject Kingka's July 16, 2024 late submission of bank statements and sales quantity information, and apply an inference adverse to Kingka, allowing CBP to instead use facts otherwise available.

However, although the application of an inference adverse to Kingka was warranted in this case, application thereof does not necessarily lead to a finding of evasion. That is, the statute directs CBP to select from among the facts otherwise available to make a determination as to evasion. Here, verified facts otherwise available on the administrative record also include the following: 1) the fact that Kingka purchased QSP from TSS; 2) the fact that TSS produced QSP in Thailand; and 3) the absence of any evidence of Chinese-origin QSP at TSS.

Although adverse inferences can be used to fill gaps in the record, pursuant to 19 U.S.C. § 1517(c)(1)(a), a determination of evasion must be based upon substantial evidence within the administrative record. Here, the record shows that Kingka purchased QSP from TSS that, according to the evidence on the record, was produced in Thailand by TSS, and imported such merchandise, which is not subject to the AD/CVD Orders, into the United States, correctly entering it as Thai-origin and not subject to AD/CVD deposits or duties. While Kingka's level of cooperation and compliance was subpar, and TRLED's rejection of Kingka's untimely July 16, 2024 submission was warranted and should serve as a deterrent to other importers, under the circumstances of this case, an adverse inference cannot be used to reach a conclusion which is wholly contradicted by the actual verified facts of record.⁶⁶ This does not mean that a party can or should disregard CBP's instructions and requests, because CBP can and will reject and not use untimely information that may support an importer's claim that it did not engage in evasion. Nevertheless, we find that the record here, when considered as a whole, supports a conclusion that Kingka did not engage in evasion, as defined by EAPA.

Given this finding, Kingka's argument that the March 17 Determination violated Kingka's constitutional right to due process is moot and consequently does not need to be addressed.

⁶⁵ See also 19 U.S.C. § 1517(c)(3)(A) (providing CBP authority to apply an adverse inference to certain uncooperative parties or persons).

⁶⁶ See, e.g., *Oman Fasteners, LLC v. United States*, 125 F.4th 1068, 1086–87 (Fed. Cir. 2025) (finding “‘{t}hat ‘may use’ grant of discretion, like any grant of discretion, must be exercised within the constraints of the statute and record.”) (citing *Weyerhaeuser Co. v. United States Fish & Wildlife Serv.*, 586 U.S. 9, 25 (2018)); *AG der Dillinger Hüttenwerke v. United States*, No. 2024-1219, 2025 U.S. App. LEXIS 14871, at **17–18 (Fed. Cir. June 17, 2025) (“In selecting an adverse inference, Commerce enjoys discretion to choose information on the record from which to draw an adverse inference to fill an information gap, see 19 U.S.C. § 1677e(b)(2), but may not draw inferences unsupported by the record or those that are merely punitive in nature{.}”). Although these cases dealt with Commerce's adverse inference authorities, they are instructive here because EAPA also gives CBP “may use” discretion, and CBP's decisions, like Commerce's, must be based on substantial evidence.

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RR hereby determines that the record lacks any actual evidence that Kingka entered QSP subject to the AD/CVD Orders by means of material and false statements, as defined by 19 U.S.C. § 1517.

IV. Decision

Based upon our *de novo* review of the administrative record in this case, including the request for administrative review, the March 17 Determination of evasion under 19 U.S.C. § 1517(c) with regard to Kingka is **REVERSED**.

This determination is being transmitted to TRLED so that TRLED can determine whether the interim measures should be modified, consistent with this decision. TRLED may also take any other appropriate action consistent with this decision.

This decision does not preclude CBP or other agencies from pursuing additional enforcement actions or penalties. Pursuant to 19 C.F.R. § 165.46(a), this final administrative determination is subject to judicial review pursuant to section 421 of TFTEA.

Sincerely,

Jacinto P. Juarez, Jr.
Supervisory Attorney-Advisor
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